Executive Summary & Recommendations

Superstore | 2014–2017 order-date performance | Management decision brief

Executive assessment

The Superstore case-study retailer recorded 2.30 million in sales and 286,397 in profit across 5,009 distinct orders, yielding a 12.47% aggregate profit margin. Sales grew 51.4% between 2014 and 2017, but profitability varied materially by product, region and discount level. The key management issue is not insufficient sales volume alone: several meaningful revenue streams generate weak or negative earnings.

Performance scorecard

Measure	Full period	Definition
Total Sales	2,297,200.86	SUM of line-item Sales
Total Profit	286,397.02	SUM of line-item Profit
Total Orders	5,009	DISTINCTCOUNT of Order ID
Avg. Sale / Line	229.86	AVERAGE of line-item Sales
Profit Margin	12.47%	Total Profit / Total Sales
Customers	793	Distinct Customer ID

Five priority insights

01 Technology is the largest profit engine

Technology generated 836,154 in sales and 145,455 in profit (17.4% margin), accounting for approximately 50.8% of company profit.

02 Furniture earns little on substantial sales

Furniture generated 742,000 in sales but only 18,451 in profit (2.49% margin). Tables and Bookcases together lost over 21,198.

03 Performance varies by geography

West earned 108,418 profit on 725,458 sales (14.94% margin). Central earned 39,706 on 501,240 (7.92%), including a 2,871 Furniture loss.

04 Consumer revenue dominates, but margin lags

Consumer contributed 1.16 million in sales (50.6% of the total), at an 11.55% margin, below Corporate and Home Office margins.

05 Deep discounts coincide with poor outcomes

Discounts above 20% occurred on 1,393 line items and generated 362,770 sales but a combined loss of 135,376 (−37.32% margin). This is association, not established causation.

Financial values follow the source dataset units, customarily treated as USD for this US retail sample. The raw CSV does not include an explicit currency field. All figures use the full unfiltered 2014–2017 order period.

Business risks

Risk	Evidence	Management exposure
1 Margin erosion	Deep-discount lines lose 135,376 net	Promotions may reward turnover instead of earnings
2 Loss-making assortments	Tables −17,725; Bookcases −3,473; Supplies −1,189	Revenue masks recurring product-level losses
3 Geographic leakage	Texas −25,729; Ohio −16,971; Pennsylvania −15,560	State-level losses dilute profitable regions

Business opportunities

Opportunity	Evidence	Potential response
1 Profitable assortment	Technology earns 50.8% of profit	Test selective availability and targeted promotion
2 Regional improvement	West margin ~14.94%; Central ~7.92%	Investigate transferable operating practices
3 Customer mix management	Consumer has half of revenue, lower margin	Design segment-level margin and offer monitoring

Prioritised recommendations

Priority / owner	Recommended management action	Success indicator
P1 | Commercial + Finance	Review discount approvals above 20%. Analyse profitability by product and state before changing rules.	Net profit and margin by discount band
P1 | Category Management	Audit cost, price and promotions for Tables, Bookcases and Supplies; establish a corrective action plan.	Profit per affected sub-category
P2 | Regional Operations	Investigate Texas, Ohio and Pennsylvania losses, and compare Central with stronger regional benchmarks.	State and regional net margin
P2 | Merchandising	Prioritise profitable Technology lines subject to demand, inventory and risk checks.	Category profit contribution
P2 | CRM / Commercial	Track sales and margin by segment together; test offers using profit, not just sales, as the outcome.	Segment gross contribution and margin

Implementation principle: These are hypotheses and testable actions, not proof of root causes. Management should validate cost allocation, promotional policy, product availability and channel effects before operational changes.

Financial performance by year

Order year	Sales	Profit	Profit margin
2014	484,247.50	49,543.97	10.23%
2015	470,532.51	61,618.60	13.10%
2016	609,205.60	81,795.17	13.43%
2017	733,215.26	93,439.27	12.74%

Sales increased 51.4% from 2014 to 2017. The profit margin improved to 13.43% in 2016 but eased to 12.74% in 2017. Growth therefore warrants accompanying margin monitoring.

Category economics

Category	Sales	Profit	Margin
Technology	836,154.03	145,454.95	17.40%
Office Supplies	719,047.03	122,490.80	17.04%
Furniture	741,999.80	18,451.27	2.49%

Regional economics

Region	Sales	Profit	Margin
West	725,457.82	108,418.45	14.94%
East	678,781.24	91,522.78	13.48%
South	391,721.91	46,749.43	11.93%
Central	501,239.89	39,706.36	7.92%

Decision-useful interpretation

Technology exceeds Furniture profit by approximately 127,004 despite sales differing by only around 94,154. In parallel, high-discount transactions have strongly negative aggregate margin. Those results justify a coordinated product/pricing investigation rather than treating topline expansion as the sole commercial objective.

Suggested management review cadence

Weekly: monitor discount-band profit and emerging negative sub-categories. Monthly: review category and state margins with accountable owners. Quarterly: re-evaluate portfolio mix and measure the result of approved policy experiments.

Data integrity and modelling

- Input: 9,994 US retail order lines across 21 source fields; 5,009 unique orders and 793 customers.
- Completeness: no null entries in the source CSV; no full-row exact duplicates. One pair matches on all source fields except Row ID and was retained because business duplication could not be established.
- Validation: no shipment date precedes Order Date; source numerical quantities and discounts are plausible. Negative profits and high-value lines were retained.
- Product keys: 32 Product IDs map to multiple distinct Product Names; product ranking uses the trimmed product-name text rather than assuming a unique Product ID.
- Modelling: FactSales at order-line grain, DimDate at calendar-day grain, active 1:* relationship from DimDate[Date] to FactSales[Order Date].

Metric definitions and limitations

Metric	Calculation / interpretation
Total Sales	Sum of the Sales field across all order lines
Total Profit	Sum of Profit across all order lines, including losses
Total Orders	Count of distinct Order ID; not the count of rows
Average Sales	Mean sales per line item; not mean sales per order
Average Order Value	Total Sales / distinct Orders = 458.61 (supplementary)
Profit Margin	SUM(Profit) / SUM(Sales), not average of row margins
Date coverage	2014–2017 based on Order Date; Ship Date extends into Jan 2018

Scope and caution

This is an educational case study rather than a current commercial performance assessment. The source file has no explicit currency code, cost decomposition, returns flag, marketing spend, inventory, or competitive data. Profit is taken as provided by the dataset. The findings are descriptive; high discounts and low profit may co-occur due to confounding factors such as product mix or cost structures. Static reports use the full 2014–2017 period, whereas Power BI slicers can change interactive views.

Evidence and provenance

Primary source: Sample - Superstore.csv (attached archive_2.zip). Assignment basis: AnalystLab Africa, Week 2 Business Analytics Case Study. Data calculations were independently reproduced from the supplied CSV; no inferred operational costs or future financial forecasts are included.

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